

EUR/USD: the loser of the 'open-end' ceasefire

Asia overnight

President Donald Trump's open-ended truce with Iran is not settling market nerves. Indeed, the President's willingness to prolong the ceasefire while both sides continue blockading the Strait of Hormuz is beginning to make investors realise that an end to the war may be a while off. At the time of writing, S&P500 futures and Asian bourses were trading in the red on the back of higher oil prices. The USD alongside the NOK and CAD gained against the rest of the G10 during the Asian session while the SEK and NZD were the biggest losers.

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EUR/USD: the loser of the 'open-end' US-Iran ceasefire

The recent extension of the US-Iran ceasefire did not alleviate market concerns that the peace talks between the two are still in limbo and that, as a result, the Strait of Hormuz remains blocked. The longer the US-Iran standoff drags on, the greater the drain on global oil & gas reserves and the likelier the implementation of energy rationing in the economies of energy importers like the Eurozone. At the same time, the US economy should cope significantly better under this scenario. A continuation of the ceasefire without a peaceful resolution in the Middle East could thus magnify the growth-gap between the two economies.

A continuation of the above development could shift the ECB's focus away from the inflationary impact from the war in Iran towards its very detrimental growth impact on the Eurozone. At the same time, the Fed could still conclude that resilient domestic demand and AI-related investment should continue to power the US economy. On the day, focus will be on the preliminary PMIs for April out of the US and Europe. We analyse the FX market impact of the European PMIs below. In the case of the US PMIs, a confirmation of market expectations for a cautious recovery in April could underscore the contrast with the intensifying stagnation risks in the Eurozone and give the USD a boost vs the EUR.

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EUR: red signals only quietly flashing?

The EUR continues to withstand higher energy prices relatively well, with EUR/USD holding near 1.1750. In comparison, our FAST FX estimate already stood about one big figure lower as of Friday's close, while since then EUR-USD real rate spreads have rather headed south. Meanwhile, the newsflow out of Europe has hardly been supportive for the EUR, with growth prospects being downgraded across some of the biggest Eurozone economies, while the latest leading indicators experienced a greater deterioration. On that matter, the Eurozone flash PMIs for April could be more closely scrutinised today, potentially offering a more accurate gauge of the state of the real economy than Tuesday's ZEW survey for instance. Unsurprisingly, the economists surveyed by Bloomberg look for further cooling just short of the 50 threshold, while back in 2022 the most acute downturn in the PMIs took place over the summer, when the energy shock was already well enshrined. Therefore, any earlier worrying signs could somewhat weigh on the EUR, or at least hold it back, while the heavy stream of ECB speakers is set to dry out substantially due to the quiet period running up to next Thursday's meeting.

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JPY: still struggling

While President Donald Trump's indefinite extension of the ceasefire was good news, Iran and the US are still both blockading the Strait of Hormuz trying to exercise leverage over the other. Indeed, news that Iran is seizing ships that try to

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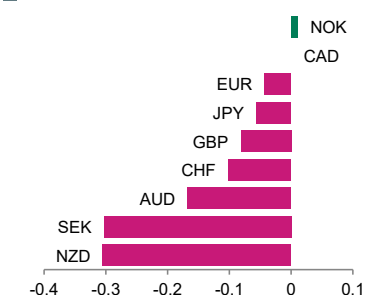
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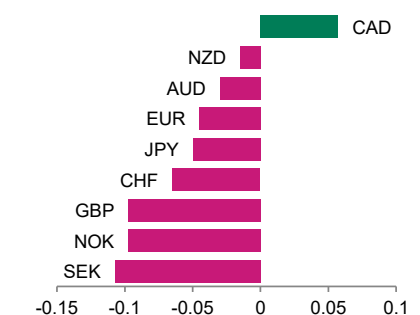
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Overnight returns (% vs USD)



Source: Bloomberg, Crédit Agricole CIB

1M implied volatility daily change (net, vs USD)



Source: Bloomberg, Crédit Agricole CIB

transit the Strait has pushed oil prices higher and led USD/JPY to once again move back towards the 160 level. We continue to think this level is the line in the sand for Japan's policymakers and the absence of their verbal intervention does not signal this line has shifted. Indeed, the BoJ and Fed meetings next week could trigger the first actual intervention in nearly two years, even if events in the Middle East do not. In the lead up to the BoJ meeting next week, we have the release of Japan inflation data for March on Friday. The impact of higher global energy prices on YoY inflation will be muted by a high base effect due to a spike in rice prices early last year. The re-introduction of the government's household utility subsidy programme will also help offset some of the impact of higher imported energy costs. Among the data, investors will pay the most attention to the core-core data as it excludes the effect of the programme and oil prices. Tokyo inflation data implies little chance of a large enough upside surprise in the nationwide data to trigger a hawkish hold by the BoJ next week.

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Open trade recommendations

Underlying	Date	Opening Time	Option Type	Strike	Barrier	Spot Entry	Cost	P&L (Portfolio terms)
EUR/USD	1/9/2026	08:00 GMT	4M put spread	1.15/1.13	-	1.1650	0.33%	-1.49%
EUR/JPY	12/8/2025	09:30 GMT	6M put spread	176/172	-	181.1300	0.55%	-1.89%

*Returns calculated as %VaR with 2% risk allocation per trade

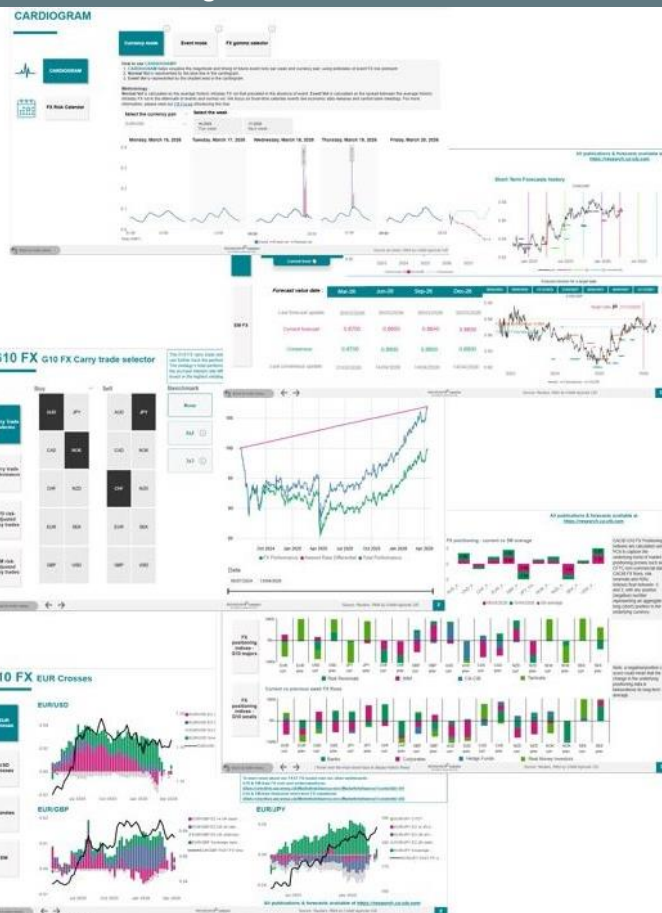
Key events

GMT	Country/ Zone	Indicator/Event	For	CA-CIB f/c	Cons.	Prev.	Comment
07:00	NO	Business Tendency Survey	1Q			2.60	
07:00	UK	PSNB	Mar			14.33 B	
07:45	FR	Manufacturing confidence	Apr			98.70	
08:15	FR	PMI Manufact.	Apr			50.00	
08:15	FR	Composite PMI	Apr			48.80	
08:30	GE	PMI Manufacturing	Apr			52.20	
08:30	GE	Composite PMI	Apr			51.90	
09:00	EZ	Composite PMI	Apr			50.70	
09:00	EZ	PMI Manufacturing	Apr			51.60	
09:30	UK	Composite PMI	Apr			50.30	
09:30	UK	Services PMI	Apr			50.50	
09:30	UK	Manufacturing PMI	Apr			51.00	
13:30	CA	Raw Mat Price	Mar			0.57%	
13:30	CA	Industrial Production	Mar			0.44%	
13:30	US	Chicago Fed National Activity	Mar			-0.11	
14:45	US	PMI Manufacturing	Apr			52.30	
14:45	US	Services PMI	Apr			49.80	
16:00	US	Kansas City Fed	Apr			11.00	
16:00	EZ	ECB's Nagel speaks in Frankfurt					

Source: Bloomberg, Crédit Agricole CIB

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What are the key FX drivers at present – relative rate spreads or market risk sentiment?
Are the FX markets in risk-on or risk-off mood?
What's the latest on de-dollarisation?



Source: RMA by Crédit Agricole CIB

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